



Q: Are enterprises hesitant about adopting such tools due to data privacy concerns? Is that an advantage for IT services companies?

A: Yes, that is an advantage. It won't be easy for enterprises to jump in blindly. For example, if you use one enterprise solution and want to build something using an AI agent, where will all the customer interaction data go? While AI can interpret data and even automate outreach, the data must still reside somewhere, with proper data models and workflows.

Some claim software-as-a-service will disappear. I don't believe that. Some front-end layers may get replaced, but systems of record and core workflows will still be required. And once those exist, you need IT firms to implement and manage them.

“People with strong technical depth will remain in demand. Agents and junior developers using AI tools can build faster, but you still need experts to validate and troubleshoot”



There are serious concerns. Even private versions of these tools are used to train models. Customers worry about data privacy. Many are embedding clauses in Master Service Agreements stating that AI tools cannot be used without explicit approval.

Q: Indian IT has spent decades delivering services to global enterprises. Why hasn't that experience translated into globally scaled product companies or innovation-led giants?

A: We are 25 years into this century, so, many people don't remember the environment in which Indian IT began in the 1980s. In the '80s and early '90s, regulatory constraints such as foreign exchange controls and import restrictions limited the ability to build globally scaled product businesses. Establishing credibility with international clients was a challenge, and Y2K became the turning point that led to rapid growth.

Once services demand accelerated, companies prioritised scaling delivery and execution, which offered steady profits and resilience through disruptions like the dot-com bust and the global financial crisis in 2008. Innovation did occur, and firms like Happiest Minds have created AI-driven recommendation engines. However, these often remained embedded within services rather than evolving into standalone products.

Q: What kind of job losses are we realistically looking at in the Indian IT sector? What replaces those roles?